Limitations

1. Factor endowment of a country may change over time.

2. The efficiency of the same factor (say labour) may differ in the two countries. For example, America may be labour scarce in terms of number of workers. But in terms of efficiency, the total labour may be larger.

7.5.5 Comparison of Classical Theory and Modern Theory

S.No	Classical Theory of International Trade	Modern Theory of International Trade
1.	The classical theory explains the phenomenon of international trade on the basis of labour theory of value.	The modern theory explains the phenomenon of international trade on the basis of general theory of value.
2.	It presents a one factor (labour) model	It presents a multi - factor (labour and capital) model.
3.	It attributes the differences in the comparative costs to differences in the productive efficiency of workers in the two countries.	It attributes the differences in comparative costs to the differences in factor endowments in the two countries.

7.6 Gains from International Trade

International trade helps a country to export its surplus goods to other countries and secure a better market for it. Similarly, international trade helps a country to import the goods which cannot be produced at all or can be produced at a higher cost. The gains from international trade may be categorized under four heads.

I. Efficient Production

International trade enables each participatory country to specialize in the production of goods in which it has absolute or comparative advantages. International specialization offers the following gains.

1. Better utilization of resources.
2. Concentration in the production of goods in which it has a comparative advantage.
3. Saving in time.
4. Perfection of skills in production.
5. Improvement in the techniques of production.
6. Increased production.
7. Higher standard of living in the trading countries.

12-Economics-Chapter_7.indd 132 23-12-2022 14:44:36